DigitalOcean Holdings, Inc.

NYSE: DOCN | Information Technology — Cloud Infrastructure / IaaS-PaaS for Developers & SMBs (AI-Native Cloud)

RATING: REDUCE	12M TARGET: $150	DOWNSIDE: -14.5%	HORIZON: 12 months

CMP (03-Jun-26)	$175.38	**Market Cap**	$18.30 Bn
52-Week Range	$25.56 - $179.81	**Enterprise Value**	$19.12 Bn
P/E (TTM)	78.1x	**Fwd P/E**	155.1x
P/S (TTM) / Fwd P/S	19.4x / 14.8x	**EV/EBITDA (TTM)**	64.1x
P/B	20.4x	**Book Value / Sh**	$8.51
ROE (TTM)*	70.0%*	**ROIC (TTM)**	10.2%
Net Debt	$767 M	**Debt / Equity**	1.70x
Beta (5Y)	1.57	**Dividend Yield**	Nil
Inst. Ownership	94.2%	**Short Int. (% float)**	14.9%
Analyst Consensus	Buy (15)	**Consensus PT**	$178.77

*ROE distorted: equity base flipped from negative to +$887M in Q1-26 and TTM net income is inflated by ~$98M non-operating gains + ~$53M one-time tax benefit (see Earnings Quality). Source: stockanalysis.com, fetched 03-Jun-2026.

Investment thesis (one line): Best-in-class developer/SMB cloud genuinely inflecting on AI inference — but priced for perfection after a +519% run.

Sector: Cloud Infrastructure (IaaS/PaaS) | **Sub-sector:** AI-native / GPU cloud for digital-native SMBs | **Report date:** 03 June 2026

Analyst: Senior Equity Research — Global Technology & Cloud Infrastructure

ANALYST SNAPSHOT — WHY REDUCE

- **The good is real:** Q1-26 revenue +22% YoY (re-accelerating from ~13%), AI Customer ARR +221% to $170M, inference revenue +487%, RPO +1,700% to $243M, FY27 guidance raised to >50% growth (from ~30%). This is a bona-fide AI-cloud inflection, not vapour.
- **The price is the problem:** 19.4x trailing / 14.8x forward sales and ~64x EV/EBITDA for a business guiding to 25-27% (FY26) revenue growth. The shares are up ~519% in 12 months and now sit *above* the average sell-side target ($178.77 vs $175.38) with RSI ~71.
- **Earnings quality is poor at the headline:** the 78x trailing P/E rests on GAAP profit flattered by a ~$98M non-operating gain (convertible-note actions) and a ~$53M tax-benefit; clean FY25 EPS is ~$1.19, not the reported $2.52 — hence the 155x *forward* P/E.
- **Asymmetry favours caution:** consensus already implies ~2% upside; a still-generous re-rate to ~10x forward sales implies ~30%+ downside. 14.9% short interest signals the debate is unresolved. Accumulate the story on a pullback to $110-130, not at $175.

2 — INVESTMENT THESIS

- **Reason to own #1 — AI inference is re-accelerating the whole P&L:** AI Customer ARR reached $170M (+221% YoY) in Q1-26 with inference services +487%; total revenue growth re-accelerated to +22% and management guides FY26 to 25-27% and FY27 to >50%. If delivered, revenue roughly doubles from $901M (FY25) to >$1.7B by FY27.
- **Reason to own #2 — profitable, cash-generative scale (rare among cloud peers):** DOCN is GAAP-operating profitable (FY25 operating margin 17.4%), generates positive FCF ($170M TTM) and ~33% (unadjusted) EBITDA margins while peers Cloudflare, Fastly, GitLab and CoreWeave all run GAAP losses. Management guides ~40% adjusted EBITDA margin by FY27.
- **Reason to own #3 — a de-risked balance sheet bought with high-priced equity:** an $888M Q1-26 equity raise (struck after the run-up) funded repayment of the $500M Term Loan A and the planned retirement of the $312M 2026 converts; equity flipped from -$29M to +$887M and net leverage falls toward ~3x with no material maturities until 2030.
- **Near-term catalyst (6-12 months):** the FY27 capacity ramp — 60MW committed across four new sites (135MW total) against a pipeline running 3-4x current capacity — plus quarterly proof points on the new AI-Native Cloud (Gradient) platform converting RPO into revenue.
- **Biggest structural risk:** valuation. At ~15x forward sales the stock already discounts flawless execution of the >50% FY27 ramp; any slip in AI demand, GPU pricing, or the capex-heavy buildout removes the multiple's support far faster than it removes the business.

3 — BUSINESS OVERVIEW

- **What it does:** DigitalOcean is a cloud-infrastructure provider built for individual developers, startups and small/medium businesses (SMBs) — "Droplets" (virtual machines), managed databases, Kubernetes, storage, and now a full AI-native stack. The pitch is radical simplicity and predictable pricing versus the complexity of AWS/Azure/GCP.
- **Business model:** usage-based + subscription cloud consumption; revenue is recurring and high-retention. Reported via two lenses — Core Cloud and the fast-growing AI/ML platform. AI Customer ARR is now $170M and $1M+ customer ARR is $183M (+179% YoY), evidence of a move up-market into larger 'scalers'.
- **AI stack (the growth engine):** GPU Droplets and Bare-Metal GPUs (NVIDIA H100/H200/L40S, AMD MI300X/MI325X) plus the 'Gradient' AI Agentic Cloud and the May-2026 'DigitalOcean AI-Native Cloud' launch — 15+ new products across five integrated layers (silicon → inference engine → models → agents). Inference + core cloud are now >80% of AI ARR (up from 70% in Q4), shifting mix from raw GPU rental to higher-value services.
- **Revenue visibility:** Remaining Performance Obligations (RPO) jumped ~1,700% YoY to $243M; demand pipeline is stated at 3-4x current capacity. Contracts are deliberately short (3-12 months), letting DOCN reprice or rotate GPU capacity as the market moves.
- **Recent strategic developments:** Paperspace (GPU/ML, 2023) folded into the DO brand; GPU Droplets + GenAI platform launched 2024; AI-Native Cloud + Gradient agentic platform in 2025-26; notable production-workload customers include Cursor, Ideogram and Higgsfield AI.
- **Ownership:** no promoter group (widely held US tech). Institutions own ~94.2%, insiders ~0.64%; float ~84.9M of 104.4M shares. Insiders were net sellers (~$2.3M last 3 months) into the rally.

4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market:** global cloud-infrastructure (IaaS) is a >$300Bn market growing ~20% CAGR; the AI-cloud / GPU-as-a-service sub-segment is the fastest-growing slice (triple-digit growth off a small base). DOCN targets the long tail of developers and SMBs — a segment the hyperscalers under-serve on simplicity and price.
- **Tailwind:** the 'inference era' — as AI shifts from training (hyperscaler/neocloud turf) to inference and agentic workloads, smaller customers need cheap, simple, integrated inference. DOCN's CEO frames this as 'the inference and agentic era needs its own cloud.'
- **Headwinds:** hyperscaler price/scale pressure; GPU supply, cost and depreciation cycles; and a crowded neocloud field (CoreWeave, Lambda, Crusoe, Nebius) chasing the same NVIDIA allocations.
- **Moat — Switching costs: Moderate.** Developer workflows, data gravity and managed services create stickiness, but IaaS is inherently portable.
- **Moat — Scale: Weak-to-Moderate.** At ~$950M revenue DOCN is a minnow beside hyperscalers; its edge is focus on a niche, not absolute scale.
- **Moat — Product / integration: Moderate-to-Strong.** A genuinely integrated, simple full-stack (vs 'training-first' neoclouds with concentrated customers) is the clearest differentiator; benchmark claims of #1 inference output speed on DeepSeek V3.2 / Qwen V3.5 support this.
- **Value-chain position:** midstream cloud aggregator — buys GPUs/data-center capacity, sells simplified, higher-margin platform services to the SMB/developer long tail.

Top competitors (TTM, source: stockanalysis.com, 03-Jun-2026):

Company (Ticker)	CMP	Mkt Cap	TTM Revenue	Rev Growth	ROCE
DigitalOcean (DOCN)	$175.38	$18.30 Bn	$948.6 M	+17.6%	9.9%
Cloudflare (NET)	$272.66	$93.67 Bn	$2.33 Bn	+31.6%	-5.6%
Akamai (AKAM)	$160.32	$23.47 Bn	$4.27 Bn	+6.2%	5.5%
CoreWeave (CRWV)	$119.27	$61.06 Bn	$6.23 Bn	+129.9%	-0.4%

DOCN is the only profitable pure developer-cloud peer (Akamai is profitable but a low-growth, mature CDN). It also carries the richest growth-adjusted multiple of the cheaper cohort. Full valuation comparison in Section 8.

5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** CEO Padmanabhan (Paddy) Srinivasan (since 2024; ex-GoTo/LogMeIn and ex-AWS IoT) drove the decisive AI-native pivot; CFO W. Matthew (Matt) Steinfort runs a disciplined balance-sheet and guidance cadence. The pivot from a stalling ~13%-growth SMB cloud to a re-accelerating AI cloud is the defining management achievement of the cycle.
- **Capital allocation — the standout:** management raised ~$888M of equity *after* the share price re-rated and used it to de-lever (repaid the $500M Term Loan A, saving ~$50M/yr; retiring the $312M 2026 converts). Issuing high-priced equity to retire debt and fund a capacity buildout is textbook opportunistic capital allocation.
- **Prior buybacks — mixed:** DOCN aggressively repurchased stock in 2022-24 ($600M in 2022, $488M in 2023) at much lower prices, driving equity negative; the recent raise effectively re-issues some of that at far higher prices — value-accretive in hindsight but reflects pro-cyclical, not contrarian, history.
- **Dividend policy:** none — all capital is reinvested into capacity (60MW committed for FY27) and product. Appropriate for the growth stage; no income for holders.
- **Dilution to watch:** shares outstanding +11.5% YoY and diluted share count up to ~112M; stock-based compensation runs ~10% of revenue ($94M FY25). Real per-share dilution partly offsets headline growth.
- **Governance:** no audit/RPT red flags surfaced; insider ownership is low (0.64%) and insiders were modest net sellers into strength — a soft negative on insider conviction, not a governance breach.

6 — FINANCIAL DEEP-DIVE (FY ends 31-Dec; $ millions unless stated)

Income Statement (FY23-FY25 actual; FY26E-FY27E = analyst estimates grounded in company guidance, marked E)

Income Statement ($M)	FY23	FY24	FY25	FY26E	FY27E
Revenue	692.9	780.6	901.4	1,137.5	1,700.0
Revenue growth %	+20.2%	+12.7%	+15.5%	+26%E	+50%E
Gross Profit	397.5	465.9	539.6	671	1,003
Gross margin %	57.4%	59.7%	59.9%	59%E	59%E
Operating Income (EBIT)	11.9	91.0	157.0	182E	323E
Operating margin %	1.7%	11.7%	17.4%	16%E	19%E
EBITDA (EBIT+D&A)	129.8	221.1	294.4	340E	510E
EBITDA margin %	18.7%	28.3%	32.7%	30%E	30%E
Net Income (GAAP)	19.4	84.5	259.3	157E	210E
EPS diluted (GAAP, $)	0.20	0.89	2.52	1.45E	1.90E

FY25 GAAP net income/EPS is inflated by ~$98M non-operating gains + ~$53M one-time tax benefit; clean FY25 EPS ≈ $1.19. Estimates are normalized (recurring) figures. Management's *adjusted* EBITDA margin (adds back SBC) is guided to 37-39% (FY26) and ~40% (FY27) — higher than the unadjusted EBITDA shown above.

Balance Sheet (FY23-FY25 actual; Q1-26 = Mar-2026)

Balance Sheet ($M)	FY23	FY24	FY25	Q1-26
Cash & ST Investments	411.8	428.5	254.5	741.4
Accounts Receivable	62.2	72.5	90.9	105.5
Net PP&E	460.7	620.4	860.0	1,082
Goodwill + Intangibles	488.5	466.4	448.2	448.3
Total Assets	1,461	1,639	1,838	2,570
Total Debt	1,650	1,696	1,701	1,508
Total Liabilities	1,775	1,842	1,866	1,683
Shareholders' Equity	-313.7	-203.0	-28.7	887.4
Net Debt	1,239	1,268	1,447	766.7
Book Value / share ($)	-3.25	-2.15	-0.27	8.26

Cash Flow & Returns (FY23-FY25 actual; TTM = to Mar-2026)

Cash Flow / Returns ($M)	FY23	FY24	FY25	TTM
Operating Cash Flow	234.9	282.7	309.6	292.4
Capital Expenditure	-124.8	-186.5	-139.9	-120.6
Free Cash Flow	110.1	96.2	169.8	171.8
Stock-Based Comp	88.4	90.6	93.5	96.6
ROCE %	0.8%	6.8%	11.9%	9.9%
ROIC %	0.8%	6.7%	12.4%	10.2%
Net Debt / EBITDA	9.5x	5.7x	4.9x	2.5x
Current Ratio	2.61	2.45	0.69	1.46

- **Revenue:** growth troughed at ~12-14% in FY24/early-FY25 and re-accelerated to +22% in Q1-26 as AI/inference scaled; the FY26 (25-27%) and FY27 (>50%) guide is the entire bull case.
- **Margins:** operating margin expanded from 1.7% (FY23) to 17.4% (FY25) on operating leverage; near-term it dips (Q1-26 14.2%) under ~$100M of one-time capacity start-up costs before management targets ~40% adjusted EBITDA by FY27.
- **Cash quality:** OCF ($310M FY25) exceeds GAAP net income and dwarfs FCF-draining capex; FCF is positive but capex intensity is rising sharply for the GPU/data-center buildout (capex/MW guided higher than 2025).
- **Balance sheet:** transformed in Q1-26 — equity flipped positive (+$887M), net debt nearly halved to $767M, net leverage to ~2.5x — funded by the $888M equity raise and converts retirement.
- **Working capital:** receivables grew +25% (FY25) vs revenue +15.5% — worth monitoring as larger AI 'scaler' customers lengthen DSO, though absolute levels remain low.

7 — EARNINGS QUALITY CHECKLIST

Check	Rating	Comment
Revenue recognition	GREEN	Clean usage/subscription cloud; RPO +1,700% adds visibility.
Receivables vs revenue	AMBER	Receivables +25% vs revenue +15.5% (FY25) — watch DSO as customers scale.
Other income as % of PBT	RED	~$98M non-operating gain = ~47% of FY25 PBT — heavily distorts reported profit.
Tax-rate consistency	RED	27.5% (FY23) -> 13.5% (FY24) -> -25.5% benefit (FY25): a one-off DTA release inflates EPS.
SBC as % of revenue	AMBER	~10% of revenue ($94M); drives +11.5% YoY share dilution.
Leverage / net debt	AMBER	Net debt $767M; de-risked to ~2.5x but still levered; lease-funded capex ahead.
FCF vs PAT conversion	GREEN	OCF $310M > GAAP NI; FCF positive — underlying cash generation is genuine.
Goodwill / intangibles	AMBER	~$448M (~24% of assets) from Paperspace/Cloudways — impairment risk if AI bets fade.

- **The single most important signal (RED):** the headline 78x trailing P/E is on profit that is roughly half non-recurring (a ~$98M non-operating gain tied to convertible-note actions plus a ~$53M tax-benefit). Value DOCN on clean/forward earnings (~155x), not the GAAP headline.
- **Cash earnings are real (GREEN):** operating cash flow exceeds GAAP net income and FCF is positive — the *quality of the cash* is good even though the *quality of the reported EPS* is not.
- **Dilution is a persistent drag (AMBER):** ~10%-of-revenue SBC and an +11.5% YoY share count mean per-share metrics lag enterprise growth; the equity raise compounds this near-term even as it strengthens the balance sheet.

8 — VALUATION

Peer comparison (TTM; source: stockanalysis.com, fetched 03-Jun-2026)

Company	CMP	Mkt Cap	P/S	P/E	EV/EBITDA	ROE	Rev Gr
DigitalOcean (DOCN)	$175.38	$18.3B	19.4x	78.1x	64.1x	70.0%*	+17.6%
Cloudflare (NET)	$272.66	$93.7B	41.4x	n/a	n/a	-5.9%	+31.6%
Akamai (AKAM)	$160.32	$23.5B	5.5x	54.2x	24.1x	9.2%	+6.2%
CoreWeave (CRWV)	$119.27	$61.1B	9.9x	n/a	31.2x	-40.7%	+129.9%
Fastly (FSLY)	$20.77	$3.3B	5.0x	n/a	n/a	-10.7%	+17.7%
GitLab (GTLB)	$31.82	$5.3B	5.1x	n/a	n/a	-3.0%	+24.9%

*DOCN ROE distorted (negative-equity base + one-time gains). DOCN trades at the highest growth-adjusted multiple of the profitable cohort: 19.4x sales for +17.6% growth, versus Akamai's 5.5x for +6.2% — and the loss-making fast growers (NET, CRWV) carry the optical-growth premium.

Scenario analysis (12-month, base = blended DCF + forward multiple)

Scenario	Key assumptions	FY27E Rev	EV/Sales	Target	Prob.
Bull	>50% FY27 delivered; ~40% adj EBITDA; multiple holds ~12x fwd sales	$1.8B	~12x	**$200**	30%
Base	FY26 $1.14B / FY27 ~$1.7B; growth-multiple normalizes to ~10x fwd sales	$1.7B	~10x	**$150**	45%
Bear	AI demand digests / GPU price war / capex slips; de-rate to ~6-7x sales	$1.5B	~6.5x	**$95**	25%

- **DCF:** WACC ~11.5% (source WACC 12.0%), terminal growth 3.5%, FCF margins ramping to high-teens on a >$1.7B revenue base — credits the AI ramp and yields an implied value of ~$145/share.
- **Forward multiple:** ~10x EV/forward (FY26E ~$1.14B) sales — still ~2x the profitable-CDN peer (Akamai) and a premium for superior growth — less net debt implies ~$120-130/share; on FY27E ~$1.7B at 10x, ~$150.
- **Blended 12-month target: $150** (average of the methods), i.e. ~14.5% downside from $175.38; horizon 12 months.
- **Reality check:** the average sell-side target ($178.77) is essentially at the current price — even the bulls see the stock as fully valued; our base sits modestly below, reflecting valuation discipline rather than doubt about the business.

9 — KEY RISKS

• **Valuation / multiple compression** — at ~15x forward sales the stock discounts flawless execution; any growth or rate shock compresses the multiple violently. Probability: H. Impact: H. Monitor: EV/forward-sales vs SaaS cohort, RSI, sell-side target revisions.

• **AI demand digestion** — inference/GPU demand could prove lumpy or front-loaded; the >50% FY27 guide leaves no room for a stumble. Probability: M. Impact: H. Monitor: AI ARR, RPO, net-new $1M+ customers each quarter.

• **Capacity / capex execution** — 60MW across four new sites (135MW total) with capex/MW rising; delays or low utilization destroy the margin story. Probability: M. Impact: H. Monitor: MW brought online, utilization, capex/FCF guide.

• **GPU pricing & supply** — short (3-12 month) contracts cut both ways; a neocloud price war or NVIDIA allocation shifts could erode GPU economics. Probability: M. Impact: M. Monitor: GPU-hour pricing commentary, gross margin trend.

• **Hyperscaler & neocloud competition** — AWS/Azure/GCP moving down-market and CoreWeave/Lambda/Crusoe up-market squeeze DOCN's niche. Probability: M. Impact: M. Monitor: net dollar retention, churn, SMB win rates.

• **Dilution** — ~10%-of-revenue SBC plus equity issuance keep growing the share count, capping per-share upside. Probability: H. Impact: M. Monitor: diluted share count, SBC/revenue ratio.

• **Earnings-quality reversal** — once one-time tax/non-operating benefits lapse, GAAP EPS falls YoY (consensus 3Y EPS growth is negative), risking sentiment. Probability: H. Impact: M. Monitor: GAAP vs non-GAAP EPS bridge, effective tax rate.

10 — RECOMMENDATION

• **Rating: REDUCE** — conviction Medium. A high-quality, genuinely inflecting business trading at a price that already pays for the bull case.

• **12-month price target: $150** (~14.5% downside from $175.38).

• **Suggested entry zone: $110-130** — near the 50-DMA (~$118) and a more rational ~10x forward sales; accumulate the multi-year AI-cloud story on weakness, not at the highs.

• **Investment horizon:** 12 months (tactical); the structural story is 3-5 years for those who buy it cheaper.

• **Thesis-invalidation triggers (would make this REDUCE wrong):**

• 1. AI Customer ARR sustains >150% YoY and FY27 revenue guidance is raised again above $1.7B — demand is structurally bigger than modeled.

• 2. Adjusted EBITDA margin holds 38%+ *through* the FY27 capacity ramp (no margin give-back from capex).

• 3. Forward EV/sales compresses to <10x via earnings growth rather than price decline (the multiple 'grows into' itself).

• **Ideal investor profile:** suits long-horizon growth investors who can tolerate ~50%+ drawdowns and will add on pullbacks; NOT for valuation-sensitive, income, or risk-averse capital chasing a +519% move at all-time highs and above consensus targets.

APPENDIX — Latest Concall Brief: Q1 FY2026 (reported 05-May-2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue beat ($258M vs $250M est); non-GAAP EPS $0.44 vs $0.26 est.
Management tone	Bullish	Confident on AI-native pivot; cautious only on timing/pricing.
Guidance delta	Raised	FY26 to 25-27%; FY27 to >50% (from ~30% prior).

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

Q1-26 was a clean operational beat dressed in messy GAAP. Revenue of $258M (+22% YoY) beat and, critically, *re-accelerated* — the inflection is real: AI Customer ARR +221% to $170M, inference +487%, RPO +1,700% to $243M, and management raised FY27 to >50% growth from ~30%. But ignore the headline GAAP EPS noise — the blockbuster $158M Q3-25 print and FY25's $2.52 EPS were stuffed with a ~$94M non-operating gain (convertible-note actions) and a ~$68M tax benefit; clean Q1-26 GAAP EPS was just $0.15 while the *relevant* non-GAAP EPS of $0.44 beat the $0.26 street. Underlying, the engine is genuine: ~32% unadjusted (37-39% adjusted) EBITDA margins, $172M TTM FCF, and a balance sheet just transformed by an $888M equity raise that retired the $500M term loan and the 2026 converts (equity flipped to +$887M, net leverage ~2.5x). The multi-bagger driver is owning the 'inference and agentic' cloud for the SMB/developer long tail the hyperscalers ignore, with a 3-4x oversubscribed pipeline funding a 135MW capacity ramp. The near-term catalyst is converting that RPO and capacity into revenue through FY27; the watch-point is margin give-back from ~$100M of one-time start-up costs plus rising capex/MW. My call: the business deserves a premium, the stock does not at $175 (19x sales, above consensus PT, +519% in a year) — REDUCE / book profits; re-accumulate aggressively into the $110-130 zone.

1 — Financial Performance Snapshot (Q1 FY2026)

- Revenue: $257.9M | YoY +22.4% | QoQ +6.4% | **Beat** ($250M est)
- EBITDA (unadj.): $82.1M | YoY +22.7% | QoQ +3.6% | **Beat**
- EBITDA margin: 31.8% | YoY +0.1pp | QoQ -0.9pp | **In-line**
- Operating income: $36.6M | YoY -2.8% | QoQ -5.7% | **Pressured by start-up costs**
- PAT (GAAP): $15.8M, EPS $0.15 | YoY -58.7% | QoQ -38.5% | **Miss vs prior-year base**
- Non-GAAP EPS: $0.44 vs $0.26 est | **Beat** — the relevant profit metric
- NOTE: Q1-25 base included one-time tax/other benefits; FY25's $259M GAAP NI included ~$98M non-operating gains + ~$53M tax benefit — clean FY25 EPS ≈ $1.19, not $2.52.

2 — Segment / Geography Breakdown

- AI Customer ARR: $170M | YoY +221% | the fastest-growing slice; now a material driver.
- Inference services: +487% YoY | now 64% of AI customer ARR | the highest-quality, full-stack revenue.
- Core Cloud supporting AI workloads: +213% YoY | ~17% of AI ARR | inference + core now >80% of AI ARR (up from 70% in Q4).
- Bare-Metal GPU rentals: +28% YoY | ~19% of AI revenue | deliberately de-emphasized vs higher-value services.
- $1M+ Customer ARR: $183M | YoY +179% | evidence of a successful move up-market into larger 'scaler' accounts.
- Geography: not broken out this quarter; DOCN remains globally distributed across 15+ data-center regions.

3 — Management Commentary Themes

- AI-native pivot: "The inference and agentic era needs its own cloud" — Our read: clear, differentiated positioning. Tag: [EST]. Tone: Transparent.
- Growth from existing capacity: acceleration driven by current, not new, capacity — Our read: utilization is rising, supportive of margins. Tag: [GUIDANCE]. Tone: Transparent.
- Integrated stack vs neoclouds: "It takes a lot of hard work to build a well-integrated stack" — Our read: moat is integration + simplicity, not scale. Tag: [EST]. Tone: Transparent.
- Demand > supply: pipeline running 3-4x capacity; running it "like a cloud" to maximize customers/learning — Our read: bullish but supply-constrained. Tag: [GUIDANCE]. Tone: Transparent.
- No GPU price compression: pricing holding; Richmond facility ahead of schedule — Our read: GPU economics intact for now. Tag: [GUIDANCE]. Tone: Hedged on timing.
- Customer concentration deflected: "We haven't predicated any of our long-term guidance on any single customer" — Our read: prudent, but watch Cursor-type concentration. Tag: [EVASIVE]. Tone: Hedged.

4 — Operating & Business Metrics

- Revenue: Q1-26 = $257.9M | Q4-25 = $242.4M | Q1-25 = $210.7M | Trend: improving (re-accelerating).
- Revenue growth YoY: Q1-26 = 22.4% | Q4-25 = 18.3% | Q1-25 = 14.1% | Trend: improving four quarters running.
- AI Customer ARR: Q1-26 = $170M | +221% YoY | Trend: improving sharply.
- RPO (backlog): Q1-26 = $243M | +1,700% YoY | Trend: improving — strong forward visibility.
- Organic incremental ARR: Q1-26 = $62M (record) | Trend: improving.
- Gross margin: Q1-26 = 56.1% | Q4-25 = 58.7% | Q1-25 = 61.4% | Trend: deteriorating (GPU/capacity mix & start-up costs).
- Committed power capacity: 135MW total (60MW new across four sites for FY27) | Trend: expanding.

5 — Margin Drivers

- Operating leverage on existing capacity: +ve | Recurring: Yes | rising utilization lifts EBITDA margin structurally.
- GPU/capacity cost & mix: -ve to gross margin (gross margin 61.4%->56.1% YoY) | Recurring: partly | higher-cost AI hardware.
- One-time capacity start-up costs: ~$100M in FY26 | Recurring: No | do NOT extrapolate into forward margins.
- Capex/MW rising: -ve to near-term FCF | Recurring: Yes (through ramp) | component costs + higher-token-capacity hardware.
- Interest savings: +ve | Recurring: Yes | $500M term-loan repayment saves ~$50M/yr.

6 — Guidance & Forward Signals

- FY26 Revenue [GUIDANCE]: Prior ~ low-20s% | New = $1.13-1.145B (25-27%) | Delta = raised | Credibility: High.
- FY27 Revenue [GUIDANCE]: Prior ~30% | New = >$1.7B (≥50%) | Delta = raised materially | Credibility: Medium-High.
- Q2-26 Revenue [GUIDANCE]: New = $272-274M (24-25% YoY) | Delta = set | Credibility: High.
- FY26 Adj EBITDA margin [GUIDANCE]: New = 37-39% | Delta = maintained | Credibility: High.
- FY27 Adj EBITDA margin [GUIDANCE]: New = ~40% | Delta = raised | Credibility: Medium.
- FY26 Adj FCF margin [GUIDANCE]: New = 9-12% (incl ~$100M one-time start-up costs) | Delta = set | Credibility: Medium.

7 — Capital Allocation

- Equity raise: ~$888M in Q1-26 | struck after the re-rating | used to de-lever & fund capacity — opportunistic, accretive.
- Term Loan A: repaid $500M | saves ~$50M/yr in interest/mandatory prepayments.
- 2026 convertible notes: intend to retire $312M | no material maturities until 2030.
- 2030 converts: $625M 0.00% issued Aug-2025 | became convertible Apr-Jun 2026 as stock cleared the strike.
- Capex: rising (capex/MW above 2025) | funding 60MW of new FY27 capacity | the main FCF use.
- Dividends / buybacks: none currently | prior 2022-24 buybacks ($600M/$488M) were pro-cyclical at low prices.
- Net debt: $767M (TTM) vs $1,447M (FY25) | net leverage ~2.5x | materially de-risked.

8 — Q&A Heat Map

- Gabriela Borges (Goldman Sachs): Q: levers to beat guidance / pricing? -> A: cautious on timing, no GPU price compression, Richmond ahead. | Tone: Transparent.
- Jason Ader (William Blair): Q: durability vs neoclouds adding software? -> A: integrated, open-source-enabled stack vs 'training-first' concentrated neoclouds. | Tone: Transparent.
- Mark Zhang (Citi): Q: new customers vs Bare-Metal conversions? -> A: customers pulled in by inference entry points; "not having to sell Bare Metal at all." | Tone: Transparent.
- Tom Blakey (Cantor): Q: managing 3-4x oversubscription? -> A: "very thoughtful" allocation; run it "like a cloud" for max customers. | Tone: Transparent.
- Josh Baer (Morgan Stanley): Q: spot-pricing upside given short contracts? -> A: can reprice/rotate capacity every 3-12 months. | Tone: Transparent.
- Patrick Walravens (Citizens JMP): Q: Cursor/customer optionality? -> A: "not predicated guidance on any single customer." | Tone: Hedged.
- Dodged / watch-list for next quarter: (1) 2027 FCF margin incl. lease terms (CFO declined to guide); (2) single-customer concentration (Cursor); (3) GPU-hour pricing durability.

9 — Risks Flagged

- Lease-funded capex opacity: CFO "not guiding" to 2027 FCF incl. leases | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-medium.
- Capacity-ramp execution: 60MW across four sites with higher capex/MW | Flagged by: mgmt/analyst | Probability: M | Impact: H | Timeline: medium (FY27).
- Customer concentration: large 'scaler' wins (e.g. Cursor) | Flagged by: analyst | Probability: M | Impact: M | Timeline: near-term.
- GPU pricing / supply: short contracts, NVIDIA allocation | Flagged by: analyst | Probability: M | Impact: M | Timeline: ongoing.
- Margin give-back: ~$100M one-time start-up costs + mix | Flagged by: mgmt | Probability: H | Impact: M | Timeline: FY26.
- Valuation (analyst's add): >15x forward sales, above consensus PT | Flagged by: analyst | Probability: H | Impact: H | Timeline: near-term.

10 — Analyst Verdict

- Revenue visibility: Intact — RPO +1,700%, re-accelerating growth, raised FY27 guide.
- Margin trajectory: Intact (with near-term give-back) — ~40% adj EBITDA target vs ~$100M one-time costs.
- Capital allocation quality: Intact — opportunistic high-priced equity raise de-risked the balance sheet.
- Competitive moat: Intact (Moderate) — integration/simplicity edge vs neoclouds and hyperscalers.
- Management credibility: Intact — beat-and-raise delivered; only soft hedging on leases/concentration.
- Valuation comfort: Broken — 19x trailing / ~15x forward sales, above consensus target, after +519%.
- Conviction call: Unchanged (constructive on business, cautious on price) — REDUCE / book profits at $175; accumulate $110-130.
- Valuation snapshot: P/E (GAAP TTM) = 78x (distorted) | Fwd P/E = 155x | EV/EBITDA = 64x | EV/fwd sales ~15x | ROIC = 10.2%.

Sources: stockanalysis.com (financials, fetched 03-Jun-2026); company Q1-FY26 release & earnings call (05-May-2026); sell-side notes (Cantor $177, BofA $200, UBS $175). This report is for information only and is not investment advice. Figures rounded; estimates marked (E).